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MBA (4th Semester)

Examination, April-May, 2014

Branch : Management

TRAVEL AND TOURISM (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : Answer the following questions. All questions carry equal marks.

Q. 1. "Tourism as a discipline includes various subject and thus an integrated approach". Evaluate the statement.

OR

Explain "Tourism as a socio-economic activity is likely to have an effect on the destination".

Q. 2. Explain the characteristics of tourism product with examples ?

OR

"Ramoji Film City, a magical realm filled with excitement and wonderful surprises at every turn being world's largest integrated film city and India's only thematic holiday destination". Explain the type of tourism product Ramoji film city is offering".

Q. 3. "The Ministry of Tourism functions as the nodal agency for the development of tourism in the country". Evaluate the statement ?

OR

Discuss the various approaches of tourism development ?

Q. 4. Discuss the various function a travel agency plays to facilitate tourist ?

OR

Discuss the process of setting up a tour operating enterprise ?

Q. 5. Case Study :

Balmer Lawrie Travel & Tour Ltd – New Acquisition Plan

Balmer Lawrie Travel & Tour Ltd has maintained high standards of customer service, an innovative outlook, and dedicated human resources so as to become a leader in today's highly competitive markets. The company has entered into the travel and tourism and cargo and logistics business since the last two decades. It

is India's largest tour and travel agency with an annual turnover of around ₹220 crore. The company set a target to scale up its net profit to the tune of ₹2000 crore by 2010. However, the travel and tours contribute 39.7 percent to the total revenue generated by the Balmer and Lawrie (I) Ltd. The significant share of the sector was, reported to be 17.1 per cent during 2005-09 due to the extensive business network across 1500 IATA and 15,000 non-IATA approved agents respectively. It is the special recognition of the company for having been appointed as the handling agent for the commonwealth games. The company fosters a century-old tradition of deep-rooted commitment to business by

practising values, its employee's pride in the organization, and advancement of social benefits. It strives hard to become a respectable corporate entity having market leadership with global footprints in the chosen areas of operations. It consistently delivers shareholder value with a high degree of environmental and social responsibility. In the present knowledge and idea-driven age, the company believes in its people expressing their ideas, views, and concerns in a very free and frank manner by encouraging worthy ideas deep-rooted in the value system of the organization. The company believes that 'people excellence' is the strength needed to achieve organizational excellence.

Balmer Lawrie provides personalized and comprehensive services in travel and tourism through its offices at Ahmedabad, Bengaluru, Bhubaneswar, Chennai, Delhi, Hyderabad, Kolkata, Mumbai, Thiruvanathapuram and Vadodara. These offices are fully automated and enjoy ticket stock facility from Air India and other major domestic and international airlines. These offices have been fully automated with online reservation systems of Amadeus, Galileo, SITAR, and a dedicated terminal from Air India. The company is one of the oldest IATA accredited travel agencies in India. It is also approved and recognized by ASTA, IATO, PATA, TAAI, TAFI, and UFTAA. Air India as well as several leading

international airlines have been continuously adjudging Balmer Lawrie as one of their top agents.

The company offers a wide range of travel and tourism services, including international and domestic air travel, travel counselling and tours, itineraries, reservation and ticketing, passport and visa services, foreign exchange, and RBI formalities. Some specialized services include hotel reservations in India and abroad, cars and coaches, inbound group tours, outbound incentive tours, and international conferences, conventions, and seminars. The department of travels and tours of Balmer Lawrie has recorded a better top-line and bottom-line growth within the

country and internationally with aggressive strategies. The company is one of the largest operators in the travel facilitation sector in India. It is facing reduction in the commission levels on account of low fares in the aviation sector. Under the circumstance, the company is hard pressed to evolve ways to get out of the crisis situation. Several other rival travel companies like Thomas Cook, Carlson Wagon-lit, and Kuoni have already taken measures to deal with the changes.

Balmer Lawrie & Co Ltd is planning to acquire a medium-sized tour operating company in India. This is in line with the company's proposed emphasis on the tours and travels business. The company has appointed a

consultant for the purpose of short-listing a few target companies. The core revenue of the tour and travel segment of Balmer Lawrie is air ticketing, since all the airlines have reduced the commission on tickets substantially during the last few years. Thus, the profitability of the division has come down accordingly. However, the division has managed to register a growth in profits by increasing the volume of sales. The company has done comprehensive planning to increase its offerings substantially through acquisition of a medium-sized Indian company having existing operations worth approximately ₹25 crore. The company is open to go for buying outright or entering into joint venture for

expansion of operation network across Indian cities. As a forward integration of this business, the travel agency major looks forward to acquiring a company having strong presence in the travel markets in India and Asia. It is great pride and achievement of the leading public sector undertaking in the realm of travel and tours business that Lufthansa and Kenya Airways awarded the company for having shown remarkable performance and leading revenue performer.

Discussion Questions :

(1) Why is Balmer Lawrie concerned about the present travel market scenario ?

(2) What actions are being taken by the company to maintain the growth of the business ?

(3) What are its prospects of successfully dominating the travel and tourism market ?

(4) What are the pros and cons of the likely decisions of merger of the company ?

(5) Should the company go ahead in the present with its acquisition strategies ? If not, why ?

(6) If yes, which are the prospective tourism and travel business areas that the company should focus upon ?